

NEW KENYA CO-OPERATIVE CREAMERIES LTD (NKCC)
P.O.BOX 30131 00100
DAKAR ROAD
NAIROBI

AND

XTRANET COMMUNICATIONS LIMITED
P.O.BOX 27346-00100
NAIROBI

CONTRACT FOR THE PROVISION IP CCTV SUBSCRIPTION LEASE SERVICES

TENDER NO. NKCC/T/023/2021-2022



4.

This **CONTRACT** is made this 2nd day of June Two Thousand and Twenty-Two (2022) **BETWEEN NEW KENYA CO-OPERATIVE CREAMERIES LTD**, a Limited Liability Company incorporated in the Republic of Kenya, of Post Office Box Number 30131-00100 Nairobi (herein after referred to the "**Client**" which expression shall where the context so admits include its successors and assigns) of the one part;

AND

XTRANET COMMUNICATIONS LIMITED of Post Office Box Number 27346-00100 NAIROBI in the Republic of Kenya (hereinafter referred to as the "**Supplier**" which expression shall where the context so admits include its successors and assigns) of the other part.

WHEREAS

The Client invited tenders for Provision of IP CCTV Subscription Lease Services (hereinafter referred to as '**the Services**') and has accepted a tender by the Supplier for the provision of the services as more particularly described in this contract.

NOW THIS AGREEMENT WITNESSETH as follows:

1. In this Agreement words and expressions shall have the same meanings as are respectively assigned to them in the Conditions of Contract referred to.
2. The following documents shall be deemed to form and be read and construed as part of this Contract:
 - (i) Letter of Award dated 11th May, 2022.
 - (ii) Letter of Acceptance dated 16th May, 2022.
 - (iii) General Conditions of Contract
 - (iv) Special Conditions of Contract
 - (v) Suppliers Tender Document dated 8th December, 2021
 - (vi) The Service Level Agreement between the Supplier and the Client
3. In consideration of the payments to be made by the New KCC to the Supplier as hereinafter mentioned, the Supplier hereby covenants with the New KCC to provide the services and to remedy defects therein in conformity in all respects with the provisions of the Contract.
4. The New KCC hereby covenants to pay the Supplier in consideration of the provision of the services and the remedying of defects therein, the Contract Price or such other sum as may become payable under the provisions of the contract at the times and in the manner prescribed by the contract.

GENERAL CONDITIONS OF CONTRACT

1. Definitions

In this Contract, the following terms shall be interpreted as indicated: -

 

- i. "The Contract" means the agreement entered into between the Client and the Supplier, as recorded in the Contract Form signed by the parties, including all attachments and appendices thereto and all documents incorporated by reference therein.
- ii. "The Contract Price" means the price payable to the Supplier under the Contract for the full and proper performance of its contractual obligations
- iii. "The Services" means services to be provided by the contractor including materials and incidentals which the tenderer is required to provide to the procuring entity under the Contract.
- iv. "The Client" means the organization purchasing the Services under this Contract.
- v. "The Supplier" means the individual or firm supplying the Services under this Contract.

2. Application

These General Conditions shall apply in all Contracts made by the Client for the provision of services to the extent that they are not superseded by provisions of other parts of the contract.

3. Standards

The Services provided under this Contract shall conform to the standards mentioned in the Technical Specifications.

4. Use of Contract Documents and Information

- i. The Supplier shall not, without the Client's prior written consent, disclose the Contract, or any provision therefore, or any specification, plan, drawing, pattern, sample, or information furnished by or on behalf of the Client in connection therewith, to any person other than a person employed by the Supplier in the performance of the Contract.
- ii. The Supplier shall not, without the Client's prior written consent, make use of any document or information enumerated in paragraph 4(i) above
- iii. Any document, other than the Contract itself, enumerated in paragraph 4(i) shall remain the property of the Client and shall be returned (all copies) to the Client on completion of the Supplier's performance under the Contract if so required by the Client

5. Patent Rights

The Supplier shall indemnify the Client against all third-party claims of infringement of patent, trademark, or industrial design rights arising from the provision of the Services or any part thereof in the Client's country



6. Performance Security

- i. Within thirty (30) days of receipt of the notification of Contract award, the successful Supplier shall furnish to the Client the performance security in the amount specified in Special Conditions of Contract.
- ii. The proceeds of the performance security shall be payable to the Client as compensation for any loss resulting from the Supplier's failure to complete its obligations under the Contract.
- iii. The performance security shall be denominated in the currency of the Contract, or in a freely convertible currency acceptable to the Client and shall be in the form indicated in the Special Conditions of contract.
- iv. The performance security will be discharged by the Client and returned to the Candidate not later than thirty (30) days following the date of completion of the Supplier's performance obligations under the Contract, including any warranty obligations, under the Contract

7. Inspection and Tests

- i. The procuring entity or its representative shall have the right to inspect and/or to test the services to confirm their conformity to the Contract specifications. The Procuring entity shall notify the tenderer in writing, in a timely manner, of the identity of any representatives retained for these purposes.
- ii. The inspections and test may be conducted on the premises of the tenderer or its Subcontractor, all reasonable facilities and assistance, including access to drawings and production data, shall be furnished to the inspectors at no charge to the Procuring entity.
- iii. Should any inspected or tested services fail to confirm to the specifications, the procuring entity may reject the services, and the tenderer shall either replace the rejected services or make alterations necessary to meet specification requirements free of cost to the procuring entity.

8. Insurance

The Supplier shall during the period of the contract maintain the requisite insurance to cover his employees and equipment.

9. Payment

- i. The method and conditions of payment to be made to the Supplier under this Contract shall be specified in Special Conditions of Contract.
- ii. Payments shall be made promptly by the Client as specified in the contract



9

10. Prices

- i. Prices charged by the Supplier for services performed under the Contract shall not, with the exception of any price adjustments authorized in Special Conditions of Contract, vary from the prices by the Supplier in its tender.
- ii. Contract price variations shall not be allowed for contracts not exceeding one year (12 months)
- iii. Where contract price variation is allowed, the variation shall not exceed 10% of the original contract price.
- iv. No variation in or modification to the terms of the contract shall be made except by written amendment signed by the parties.

11. Assignment

The Supplier shall not assign, in whole or in part, its obligations to perform under this Contract, except with the Client's prior written consent.

12. Subcontracts

The Supplier shall notify the Client in writing of all subcontracts awarded under this Contract if not already specified in the tender. Such notification, in the original tender or later, shall not relieve the Supplier from any liability or obligation under the Contract

13. Termination

- a) The Client may, without prejudice to any other remedy for breach of Contract, by written notice of default sent to the Supplier, terminate this Contract in whole or in part: -
 - i. If the tenderer fails to provide any or all of the services within the period (s) specified in the Contract, or within any extension thereof granted by the procuring entity.
 - ii. If the Supplier fails to deliver any or all of the goods within the period(s) specified in the Contract, or within any extension thereof granted by the Client
 - iii. If the Supplier fails to perform any other obligation(s) under the Contract
 - iv. if the Supplier, in the judgment of the Client has engaged in corrupt or fraudulent practices in competing for or in executing the Contract
 - v. if the Supplier, in the judgment of the Client has engaged in corrupt or fraudulent practices in competing for or in executing the Contract
- b) The procuring entity may at the anytime terminate the contract by giving written notice to the contractor if the contractor becomes bankrupt or otherwise insolvent. In this event, termination will be without compensation to the contractor, provided that



4

such termination will not produce or affect any right of action or remedy, which has accrued or will accrue thereafter to the procuring entity.

- c) The procuring entity by written notice sent to the contractor may terminate the contract in whole or in part, at any time for its convenience giving fourteen (14) days' notice. The notice of termination shall specify that the termination is for the procuring entity convenience, the extent to which performance of the contractor of the contract is terminated and the date on which such termination becomes effective. For the remaining part of the contract after termination the procuring entity may elect to cancel the services and pay to the contractor on agreed amount for partially completed services.
- d) In the event the procuring entity terminates the Contract in whole or in part, it may procure, upon such terms and in such manner as it deems appropriate, services similar to those undelivered, and the tenderers shall be liable to the procuring entity for any excess costs for such similar services.

14. Resolution of Disputes

- i. The Client and the Supplier shall make every effort to resolve amicably by direct informal negotiation and disagreement or dispute arising between them under or in connection with the contract
- ii. If, after thirty (30) days from the commencement of such informal negotiations both parties have been unable to resolve amicably then the dispute shall be resolved as provided in the special conditions of contract.

15. Language and Law

The language of the contract and the law governing the contract shall be English language and the Laws of Kenya respectively unless otherwise stated.

16. Force Majeure

The Supplier shall not be liable for forfeiture of its performance security or termination for default if and to the extent that it's delay in performance or other failure to perform its obligations under the Contract is the result of an event of Force Majeure.



4

17. Notices

Any notice, request or consent made pursuant to this Contract shall be deemed to have been made when delivered in person to an authorized representative of the Party to whom the communication is addressed, or when sent by registered mail, telex, telegram, email or facsimile to such Party.

For all purposes under this contract, the address of the Supplier shall be:

**The Managing Director,
Xtranet communications Limited
Post Office Box Number 127346-00100
NAIROBI**

The address of the Client shall be:

**Managing Director,
New Kenya Co-operative Creameries Ltd.
P. O. Box 30131- 00100
NAIROBI.**

18. Authorized Representatives

Any action required or permitted to be undertaken, and any document(s) required or permitted to be executed, under this Contract by the Client or the Supplier shall be undertaken or executed only by such representatives as authorized by the Client and Supplier respectively.

19. Taxes and Duties

Unless otherwise specified, the Supplier, and their Personnel shall pay such taxes, duties, fees and other impositions as may be levied under the applicable Law, the amount of which is deemed to have been included in the Contract price.

20. Modification

Modification of the terms and conditions of this Contract may only be made by written agreement between the Parties.

SPECIAL CONDITIONS OF CONTRACT

Special Conditions of Contract shall supplement the General Conditions of Contract.

Whenever there is a conflict, between the General Conditions of Contract and the Special



Conditions of Contract, the provisions of the Special Conditions of Contract herein shall prevail over these in the General Conditions of Contract.

1. The Client is New Kenya Cooperative Creameries Limited (NKCC).
2. The Supplier is Xtranet Communications Limited.
3. The services shall run for the period of four (4) years from the date of commissioning of the project.
4. The contract price is Forty-Four Million One Hundred and Ninety-Eight Thousand, One Hundred and Twenty-Two (Kshs. 44,198,122.00) V.A.T inclusive.

5. Payment

- a) Payment shall be made at quarterly intervals after submission of invoices for delivery of the services. Invoices will be sent at the beginning of each quarter.
- b) All payment shall be made in Kenya Shillings.

6. Resolution of Disputes

- i. The parties hereto shall try to settle amicably by negotiation any dispute, which arises in connection with this Agreement. Should such efforts fail, disputes, whether, arising during the term of this Agreement or after its expiration shall be referred by either party to a final decision of a single arbitrator appointed pursuant to the provisions of the Arbitration Act or such other Act amending or replacing the same. Arbitration shall take place in Nairobi and the decision of the arbitrator shall be final. Both parties hereto undertake to abide by and execute any award rendered by the arbitrator without any unreasonable delay. The enforcement of such an award may be applied for in any court of competent jurisdiction.
- ii. The services any notices, process, motion or other document in connection with arbitration under this Agreement or for the enforcement of an arbitrator award may be effectuated by either personal service upon a party or by registered mail.
- iii. This Agreement shall be interpreted in accordance with and the legal relations between the parties hereto and shall be governed, in all respects by the provisions of the substantive laws of Kenya.

7. Force Majeure

- i. For the avoidance of doubt, the following events will constitute force majeure but will not be limited to war, riot, usurped power, civil commotion, fire, industrial dispute,



strikes, acts of God, acts of Government, acts of public enemy, boycott, embargo or form of strike, explosions, failure of communication system, default of carrier or any cause or other circumstances beyond the reasonable control of the parties.

- ii. The party pleading force majeure shall notify the other of the circumstances constituting force majeure and of the obligations that are affected and will take every reasonable measure to minimize the delays or inconveniences arising therefrom.

IN WITNESS WHERE OF the parties have executed this contract the day and year herein above written.

Signed by the Client;

NEW KENYA CO-OPERATIVE CREAMERIES
LIMITED


MANAGING DIRECTOR


THE HEAD OF ICT

In the presence of

IRENE K. MBITO

ADVOCATE

P.O. Box 445 - 00204,

ADVOCATE ATHIRIVER

Sealed with the Common Seal of the Supplier
XTRANET COMMUNICATIONS LIMITED


DIRECTOR

In the presence of

ADVOCATE



4